THE ELON GAZETTE

Weekday briefing on what Elon Musk is saying and doing

THURSDAY, OCTOBER 22, 2026

THE MORNING PICTURE

"Headed for a lot of fun and significant growth"

Opening Tesla's third-quarter webcast on Wednesday, Elon Musk said demand for its cars "is exceeding our production by a significant margin," driven above all by Full Self-Driving (FSD), and that "after many years of grind and things being fairly flat, I think we are now headed for a lot of fun and significant growth," according to a transcript. He also asked investors to be patient on the Optimus robot: "I do want to temper expectations that we still have a lot to get through."

Tesla earned an adjusted 48 cents a share on $28.05 billion in revenue, ahead of the 43 cents and $27.9 billion analysts polled by LSEG expected, CNBC reported. The shares, up 3.4% in Wednesday's session, were down about 4% in premarket trading on Thursday, CNBC noted.

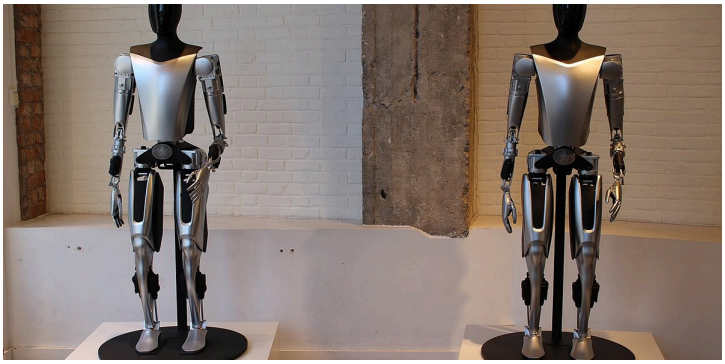
I · TESLA

Robots in a year, chips in 2028

"I remain convinced that Optimus will be the biggest product on Earth," Musk said, while putting customer deliveries at about the end of next year.

$28.05B	1.74M	$1.53B
third-quarter revenue, flat from a year earlier	active FSD subscriptions, up 67% in a year	free cash flow, down 62% from a year earlier

Tesla has started "what I'd call early production" of Optimus on a high-volume line in Fremont, Musk said, but reaching an annualized rate of 20,000 robots a week will take "probably at least a year, maybe a little longer" because parts of the design are still changing. He expects the robot's AI, electromechanical design and service life "to be solved around the end of next year. That's the time to expect when we're delivering Optimus to companies outside of Tesla." He said Tesla may release a video of Optimus doing tasks that are "not pre-programmed" in "maybe a month or 2," and plans to put its AI5 chip, with "an order of magnitude more compute" than AI4, into the robot around April (transcript).



Two Tesla Optimus humanoid robots on display in Stockholm on May 13, 2024.
PHOTO: ULF KLINGSTRÖM / WIKIMEDIA COMMONS · PUBLIC DOMAIN

On cars, Musk said Tesla is aiming for 5 million vehicles a year "by approximately 2030," that Megapack batteries are "almost sold out" for 2027, and that he would "be surprised" if Europe-wide approval of FSD (Supervised) took longer than the first quarter. The Austin research fab for Terafab, the chip venture with SpaceX, will begin commissioning machinery in the first half of next year, aiming for a first test chip around May or June and "some kind of useful chip at volume around Q3 of 2028." Asked about its cost, he said: "It's certainly in the tens of billions," and "probably north of $100 billion long term" (transcript).

The merger, briefly

"With regard to a potential merger with SpaceX, I think I said everything that should be said yesterday, tap dancing through a minefield there," Musk said; investor relations head Travis Axelrod told analysts the company would take no questions on it (transcript). Musk quoted Tesla's results post at 4:49 p.m. EDT, "Great progress by the Tesla team!," and at 4:54 p.m. wrote over a summary of the numbers: "People are buying FSD with a car attached, not the other way around." Tesla's shareholder update says more than 75% of new deliveries in North America included FSD.

QUICK HIT

Next time, on video. To a shareholder who wanted the next Tesla call to be a video call like SpaceX's, Musk replied at 7:01 p.m. EDT: "It will be next time." Told that SpaceX's earnings production deserved an A+ and Tesla's an F-, he answered: "Fair enough, we will make it more entertaining next time."

II · SPACEX & STARLINK

"A shot at exceeding 10GW next year"

SpaceX shares rose 7.8% on Wednesday, the day after its first profit as a public company.

Replying to a post quoting investor Brad Gerstner as saying SpaceX "is building out 25% of all new compute in America next year," Musk wrote at 9:42 p.m. EDT: "We have a shot at exceeding 10GW next year." Earlier, under a post citing his remark on SpaceX's call that it could "rent out our compute several times over," and calling that bullish for smaller cloud providers, he added at 10:15 a.m.: "Only if they can get their compute online and reliable, which is extremely difficult to do at scale."

SpaceX closed up 7.8% on Wednesday, helping lift the Nasdaq, after "its first profit as a public company," Reuters reported; T-Mobile US fell 2.5% and Verizon 2.2% on worries that SpaceX could become a telecom rival. JPMorgan raised its price target to $500 from $240 and Barclays to $300 from $254, CNBC reported.



A string of Starlink satellites crosses the night sky over the town hall in Tübingen, Germany, on April 24, 2020.

PHOTO: DKTUE / WIKIMEDIA COMMONS · CC0 (CROPPED)

Starlink in the air

"Starlink moves the needle," Musk posted at 12:54 p.m. EDT over a clip of a television interview with United Airlines Chief Executive Scott Kirby. "We're going to cross the 50% threshold this week with 50% of flights on Starlink," Kirby said. "We already see customers moving from other airlines today." He called the evidence "mostly anecdotal today," and United expects to finish its fleet by the end of 2027, TeslaNorth reported.

QUICK HIT

Southaven. "Cool," Musk wrote over a post quoting a report that hundreds of electricians lined up at a Memphis union hall for data-center work, some quoting offers above $8,000 a week. "Elon Musk is paying the most money in the country right now with this SpaceX little job that they got down there in Southaven," one told Action News 5.

III · X & GROK

Reports, memos and dashboards

Musk promoted a new feature of Grok Bot, the company's AI agent, and suggested two everyday uses.

"Grok @Bot is like hiring a super smart and fun employee!" Musk posted at 4:56 p.m. EDT, quoting the product's announcement: "Grok Bot can now build reports, memos, and dashboards. Ask Bot for a page, then edit it together or have Bot keep it up to date."

Asked for "one good reason" not to have Grok do one's taxes, he replied at 11:49 a.m.: "Do it both conventionally and with Grok @Bot, then compare. Actually, it's worth showing Grok last year's tax returns and see if it finds opportunities for improvement. There may be refunds you're owed." To investor Shaun Maguire's complaint that spam calls should be illegal, he wrote at 7:01 p.m.: "Just ask Grok Bot to put you on the do not call lists."

Tesla's third-quarter webcast

Wednesday, 5:30 p.m. EDT, an audio Q&A with shareholder and analyst questions.

Musk was joined by Chief Financial Officer Vaibhav Taneja, Ashok Elluswamy, who leads Tesla's AI software, and vehicle engineering chief Lars Moravy. Elluswamy said Cybercab service launches in Dallas next month and that "somewhere around Q2 next year" the first customer-owned cars could join the Robotaxi fleet. Taneja revised 2026 capital spending guidance to "approximately $20 billion." Musk said Tesla's goal is "to take over any kind of transportation. Unless we are stopped by governments," adding: "I think Tesla will end up doing a majority of all passenger miles on Earth in any country where it is allowed to operate freely" (transcript).



Building 1 at Tesla's Gigafactory Texas near Austin, shown on June 17, 2022. The December 3 annual meeting will be held there and online.

PHOTO: LARRY D. MOORE / WIKIMEDIA COMMONS · CC BY 4.0 (CROPPED)

On the call

"I remain convinced that Optimus will be the biggest product on Earth, and humanoid robots in general will be the biggest product on Earth," Musk said, adding later: "I think at some point there will be more humanoid robots on Earth than there are humans." The first customers, he said, will probably be industrial, for "dangerous repetitive tasks, things that people really don't want to do, and that you want done basically 24/7" (transcript).

On Robotaxi revenue: "I would say it's not going to move the needle this quarter," but "it starts to become noticeable probably in Q2 and then probably a big deal by Q3 or Q4 of next year." Cybercab "is primarily going to be something that is offered as transport as a service," he said, while Tesla's other cars "would be more the cars that you would want to own." Asked about a possible "Megapod" product for distributed power and computing, he said: "It's still early days on that front" (transcript).

Tesla's annual shareholder meeting is Thursday, December 3, at 4:00 p.m. EST, according to VoteTesla.

Takeaways

1. Tesla beat estimates; Musk says demand is outrunning production.
2. Optimus deliveries to outside companies are about a year away.
3. Terafab targets volume chips around the third quarter of 2028.
4. Musk says SpaceX could top 10 gigawatts of compute next year.
5. SpaceX shares rose 7.8% on Wednesday.

Sources

Posts by @elonmusk, @Tesla, @bot, @dnapway and @firstadopter.

Tesla shareholder update (SEC) · Stock Analysis (Quartr transcript) · CNBC · CNBC (analysts) · CNBC (SpaceX analysts) · Reuters · TeslaNorth · Action News 5 · VoteTesla · Photos: Wikimedia Commons (Ulf Klingström, public domain; Dktue, CC0; Larry D. Moore, CC BY 4.0)

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